

Emerging Moat

Factor-based Portfolio





“It's Better to Buy Companies Before the Multiple Expands, Before they are Discovered by the Institutions, Before they are Priced to Perfection ”

- Ian Cassel, Founder of Microcapclub.com

It is a fact that 87% of the 10 baggers and above in global equity markets started as Small and Midcaps and were profitable. Almost all the great companies of today, like Amazon, Apple, Meta, Microsoft, etc, in the Western world were once small. This is true in the Indian context also. We have seen the likes of Infosys, which got listed at circa 100 cr market cap in 1996, turn into the behemoth that it is now with 5.5 Lakh crore market cap.

Examples in the Indian Context

Company Name	Cumulative Return %
PG Electroplast Ltd	17400%
Transformers & Rectifiers India Ltd	8044%
CG Power and Industrial Solutions Ltd	6711%
BSE Ltd	5302%
Bajaj Finance Ltd	37280%



This shows that almost all great companies have started small before achieving significant size and clout.

“Catch them young “, a phrase epitomised by the Chinese sports industrial complex, is an apt metaphor for the concept of “**Emerging MOAT** “. It is the attempt to identify businesses at their budding stage when they display characteristics of “MOAT “. They may not be market leaders or champions in their respective industries, but they display ample evidence of emerging as future champions and leaders. One of the advantages of catching them young is the low base effect.

*“**Low base effect** in business and economics is the tendency of a small absolute change from a low initial amount to be translated into a large percentage change. “*

This low base effect, combined with characteristics of Emerging MOAT viz: **High EPS growth, Good ROCE, Low Debt, High interest coverage and High CFO to PAT conversion**, is our favourite hunting ground.

It is observed that the biggest Alpha is generated when EPS growth, along with P/E expansion, happens simultaneously. Due to the low base effect in small and midcap businesses, there is usually an ample runway for growth. If that is coupled with a low valuation at the time of purchase, then we have a big winner at hand.

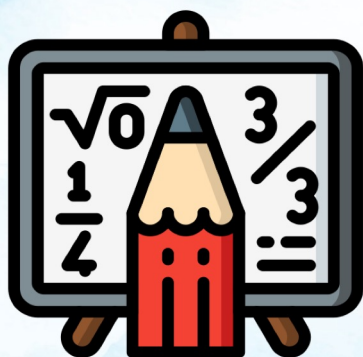
The characteristics mentioned above are GARP investing 101.



So, what is it that we at MOAT Financial do differently?

In our “Emerging MOAT” portfolio, we attempt to identify the going to be great (Emerging MOAT) companies through a **factor-based** Portfolio approach.

What is a Factor-based Fund?



Utilises Mathematical And Statistical Models, Algorithms And Data Analysis To Make Investment Decisions.



Relies On Predefined Rules And Systematic Approaches Rather Than Human Judgements And Subjective Opinions

Why factor-based Portfolio?

Factor-based investing has the following advantages:

1. It is completely **data-driven**, eliminating human biases and errors.
2. It's Algorithmic investing, making sure a set of **predefined rules** takes care of the stock identification and selection process.
3. The process is completely **objective**.
4. Leads to **quick and smart decision-making**, ensuring the entire stock universe is screened for optimum results.



Human Intervention

Post the algorithmic screening process a level of human intervention is applied where experienced analysts review the quantitatively screened kits to identify for any qualitative anomalies and errors. (For eg: Identifying a falling knife v/s a value stock).

Portfolio Construction

The algorithm generates a “Growth kit” and “value kit” with higher weightage assigned to the growth kit. Then, based on a proprietary factor-based ranking that incorporates a strict risk management framework, the final portfolio is generated.

We believe the proprietary algorithmic approach marries the best of both worlds: ie, identify companies with Emerging MOAT characteristics and eliminate the subjectivity and human bias from the decision-making process.

This unique approach is tailor made for individuals and prospective investors who seek higher Alpha, and are willing to take higher risk. It is for the investor wanting to participate in Indias growth journey towards Viksit Bharat by investing in going to be great companies .



“Life is Like a Snowball. The Important Thing is Finding Wet Snow and a Really Long Hill.”

- Warren Buffett



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